

What happens when we buy stocks low valuation?

We purchase shares at a lower price than their true or intrinsic value.

So, for example, the true or intrinsic value of the stock is around 100 Rs. However, in this situation, the market price is Rs.60. So the (-40) is the negative sentimental value inbuilt in price. Buying at these prices when everyone around us is fearful improves our chances for profits.

What would happen if we sell our stocks at low valuation?

We sell our shares at a price that is lower than their true or intrinsic value.

If we focus on the intrinsic value of stocks, we will notice that the fundamentals of the business have improved irrespective of the market price of the stock. However, our returns are negative since we are selling the stocks at the wrong time.

Company A share has

Market Value Rs. 60
True Value Rs. 100

What if we **Buy?**
+ Rs. 40

Positive Sentiment

Earned as we are able to buy cheap
Market value < Real Value

What if we **Sell?**
- Rs. 40

Negative Sentiment

Loss as we are selling when shares are cheap
Market value > Real Value

We want to buy when shares are cheap and sell when are too expensive.

This is how bull and bear markets affect market prices and create opportunities to buy and sell.

Institutional investors are trained to understand these market trends. They have a professional edge over retail investors when it comes to avoiding the market noise and controlling emotions. They fairly understand the rules of 'when to buy & when to sell.'

Therefore, as a retail investor, it is critical to understand the sentimental values embedded in the market price.

Avoid the temptation to buy when very high valuation exist and sell when very low valuations exist.